

the past decade due to various policy implementations and regulatory reforms, and SME IPOs have been helping them unlock immense value.

“Government-friendly policies are serving as a catalyst for their growth, enhancing their potential for success. The SME landscape is poised for substantial advancement in the coming years,” says Ravi Singh, SVP-Retail Research of financial services firm Religare Broking.

THE SUCCESS RECIPE

Innovation, strong leadership, and consistent growth seem to be the key factors behind the success of select SMEs on D-Street. A dozen SME firms, which debuted on the bourses in FY24, have rallied more than 500% against their issue price till date. In addition, other 65 recently-listed SME stocks have rallied between 100% and 500%.

“Being in the early stages of development, these businesses have the possibility to generate substantial returns, provided a thorough study of their business fundamentals is conducted,” says Singh.

Despite being small businesses, these companies have given staggering returns on the bourses. For instance, Bondada Engineering—an infra player that focusses on project execution excellence—has emerged as the top gainer, surging 2,289% over its issue size. The stock was listed on the BSE SME platform on August 30, 2023. Among other major gainers, Oriana Power, Owais Metal & Mineral Process, and Trident Techlabs also advanced more



“Market regulator Sebi can raise the minimum IPO size to ₹30 crore to strengthen the SME IPO space and protect investors”

KULBHUSHAN PARASHAR
Founder and MD, Corporate Capital Ventures

TOP 10 PERFORMERS

● At least four SMEs have rallied over 1,000% against their issue price ● 72% of IPOs that hit D-Street in FY24 have delivered positive returns to investors till May 24, 2024

Company	Listing Date	Issue Size (₹ crore)	Change* (in %)
Bondada Engineering	Aug 30, 2023	42.72	2,289
Oriana Power	Aug 11, 2023	59.66	1,816
Owais Metal & Mineral Processing	Mar 4, 2024	42.69	1,279
Trident Techlabs	Dec 29, 2023	16.03	1,194
Kody Technolab	Sep 27, 2023	27.52	906
Meson Valves India	Sep 21, 2023	31.09	805
Sahana System	Jun 12, 2023	32.74	733
Srivari Spices & Foods	Aug 18, 2023	9.00	608
Australian Premium Solar (India)	Jan 18, 2024	28.08	588
Amic Forging	Dec 6, 2023	34.80	531

*IN SHARE PRICE OVER ISSUE PRICE; DATA AS OF MAY 24, 2024
SOURCE ACE EQUITY

than 1,000% against their issue price.

Anirudh Saraswat, Co-founder of Oriana Power says, “Innovation with cutting-edge solar solutions, strong leadership and strategic acumen, financial prowess and consistent growth has helped us succeed... Knowing what not to do is as crucial, if not more, than knowing what to do, guiding you away from pitfalls and towards success.”

Those that have done well on the bourses have also reported robust results. For instance, consolidated gross sales of Oriana Power jumped 184% year-on-year (YoY) to ₹382.88 crore for FY24. On the other hand, net profit increased nearly 415% YoY to ₹54.35 crore. Prior to listing, the company had posted gross sales and net profit of ₹134.72 crore and ₹10.56 crore respectively, in FY23.

SMEs have also benefitted from the listing as their visibility and credibility have improved. Deepanshu Goel, MD of packaging and premedia firm Creative Graphics, says they are a leading player in the flexographic plate industry. “However, outside of the industry not many people were aware of flexography